National
Qualifications
2018

2018 Business Management

National 5

Finalised Marking Instructions

© Scottish Qualifications Authority 2018

The information in this publication may be reproduced to support SQA qualifications only on a non-commercial basis. If it is reproduced, SQA should be clearly acknowledged as the source. If it is to be used for any other purpose, written permission must be obtained from permissions@sqa.org.uk.

Where the publication includes materials from sources other than SQA (secondary copyright), this material should only be reproduced for the purposes of examination or assessment. If it needs to be reproduced for any other purpose it is the centre's responsibility to obtain the necessary copyright clearance. SQA's NQ Assessment team may be able to direct you to the secondary sources.

These marking instructions have been prepared by examination teams for use by SQA appointed markers when marking external course assessments. This publication must not be reproduced for commercial or trade purposes.

General marking principles for National 5 Business Management

This information is provided to help you understand the general principles you must apply when marking candidate responses to questions in this paper. These principles must be read in conjunction with the detailed marking instructions, which identify the key features required in candidate responses.

(a) Marks for each candidate response must **always** be assigned in line with these general marking principles and the detailed marking instructions for this assessment.

(b) Marking should always be positive. This means that, for each candidate response, marks are accumulated for the demonstration of relevant skills, knowledge and understanding: they are not deducted from a maximum on the basis of errors or omissions.

(c) If a specific candidate response does not seem to be covered by either the principles or detailed marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.

(d) **i.** Questions that ask candidates to Describe . . .
Candidates must make a number of relevant, factual points up to the total mark allocation for the question. These should be key points/features. The points do not need to be in any particular order. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question:
- 1 mark should be given for each accurate relevant point of knowledge
- a second mark could be given for any point that is developed from the point of knowledge.

ii. Questions that ask candidates to Explain . . .
Candidates must make a number of points that relate cause and effect and/or make the relationships between things clear, for example by showing connections between a process/situation. These should be key reasons and may include theoretical concepts. There is no need to prioritise the reasons.

Candidates may provide a number of straightforward reasons or a smaller number of developed reasons, or a combination of these.

Up to the total mark allocation for this question:
- 1 mark should be given for each accurate relevant point of reason
- a second mark could be given for any other point that is developed from the same reason

iii. Questions that ask candidates to Compare . . .
Candidates must demonstrate a true comparison in order to gain any mark. Both sides of the point must be clear but need not be linked. Candidates can write several points regarding the first comparison item, followed by several points on the second, and the marker match the points using codes (eg a, b, c)

Up to the total mark allocation for this question:
- 1 mark should be given for each compared point

Detailed marking instructions for each question

Section 1

Question			Expected answer(s)	Max mark	Additional guidance
1.	(a)	(i)	Responses could include: • Pre-measuring ingredients/reducing food waste. • Limiting its packaging. • Sourcing food from local British suppliers/minimising its carbon footprint. • All boxes, brown bags and spice containers are recyclable. • Using compostable wool liners.	**2**	Candidates are required to outline 2 steps, from the case study, to gain full marks. Award **1 mark** for each outlined step.
		(ii)	Responses could include: • Some customers are more environmentally aware - therefore more likely to buy. • Uses local suppliers – which reduces carbon footprint. • May reduce customer/local community complaints - therefore improving the image of the business. o Encourage loyalty. • Good for advertising/PR - which improves its image. o May be a USP. • Awareness of recycling is increasing - so customers want to purchase from businesses that use reduced/recyclable packaging. o This could increase sales revenue. • Can be cheaper to produce/reduce costs to the business - as recycled materials could be used. • Will meet local council targets - meaning less chance of receiving a fine.	**3**	Award **1 mark** for each valid explanation. **Up to 3 marks** may be awarded for any one explanation. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(b)	(i)	Responses could include: • Increased/grown/increased demand. • Number of meals delivered grown to 800,000 in 2015.	1	Award **1 mark** for a valid identification of the trend.
		(ii)	Responses could include: **Political** • Government encouraging healthy eating. • Introduction of 'sugar tax'. **Economic** • Improving state of the economy. • Increased disposable income. **Social factors** • Changing tastes and fashions eg healthy eating. • People have different work patterns leading to higher demand for convenience foods. • Increased number of cooking programmes on television. **Technology** • Creation of website and apps allows for easy ordering. • Social media has raised awareness of the industry. **Environmental** • Customers encouraged to reduce their wastage and/or improving their carbon footprint. • Customers are more environmentally aware. **Competitive** • Increasing price of eating out.	2	Candidates are required to describe 2 factors to gain full marks. Award **1 mark** for each valid description. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(c)		Responses could include: • The cost of the raw materials. ○ Costs need to be kept to a minimum to maximise profit. • The quality of the raw materials. • The quantity of raw materials required. • The time taken from ordering to delivery of raw materials (lead time). • How reliable/dependable the supplier is. ○ If goods are delivered late production may be held up. • The location of the supplier. ○ If supplier is far away then deliveries may take longer. • Cost of delivery of the raw materials. • Discounts available. ○ This will reduce costs. • Availability of trade credit.	**4**	Candidates are required to describe at least 2 factors that influence the choice of supplier to gain full marks. Award **1 mark** for each valid description of the factor. **Up to 3 marks** may be awarded for any one factor. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(d)		Responses could include: • BOGOF: buy one get one free. • Give customers a free item (gift) when they join. • Free samples to try the item before you buy. • Loyalty card: customers are awarded a set number of points depending on how much they spend. • Free entry to competitions when you buy the product to win a prize. • Demonstrations of products where customers see/try new product before buying. • Free delivery - goods delivered free of charge with purchase. • TV advertising: producing audio-visual images to give information during commercial breaks. • Radio advertising: producing a radio advert sometimes with catchy tunes that can be played on local or national radio stations. • Newspaper/magazine advertising: images and information can be printed in local or national papers. • Outdoor media/billboards/transport: large images can be shown to the public. • Social media using networking sites to share information.	**3**	Candidates are required describe at least 2 methods to gain full marks. Award **1 mark** for each valid description of a method. **Up to 2 marks** may be awarded for any one method. Do not credit discounts. Maximum **2 marks** for advertising. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(e)		Responses could include: **Bank loan** • Money borrowed from the bank which is repaid with interest or instalments. o Paid back in instalments/with interest. **Grant** • Money received from the government which does not need to be repaid or conditions attached. o Conditions may need to be met/is not repaid. o Takes a long time due to paperwork. **Overdraft** • Can take more money out than you have in your account. **Retained profits** • Profits made by the business in previous years which is reused. • No interest is payable. • Will reduce the amount available for dividends. **Share issue** • Inviting people to buy a share in the business. o Shareholders will have a say in decision making. **Mortgage** • Money borrowed from the bank to purchase property. • Interest is charged. • Long term to repay. • Repaid in instalments.	**5**	Candidates are required to describe at least 2 sources of finance to gain full marks. Award **1 mark** for valid definition of a source. Award **1 mark** for each valid description. **Up to 4 marks** may be awarded for any one source. Watch for repetition in descriptions of sources. Accept any other suitable response.

<table>
<tr><th colspan="3">Question</th><th>Expected answer(s)</th><th>Max mark</th><th>Additional guidance</th></tr>
<tr><td>2.</td><td>(a)</td><td>(i)</td><td>• Third sector/voluntary sector.</td><td>1</td><td>Award 1 mark for correctly identifying the sector.</td></tr>
<tr><td></td><td></td><td>(ii)</td><td>Responses could include:

<table>
<tr><th>Third</th><td rowspan="3">whereas</td><th>Public</th><td rowspan="3">whereas</td><th>Private</th></tr>
<tr><td>increase donations</td><td>use tax payers money efficiently</td><td>increase profits</td></tr>
<tr><td>attract more volunteers</td><td>meet government targets</td><td>satisfy shareholders</td></tr>
<tr><td colspan="5">be socially responsible</td></tr>
<tr><td colspan="5">provide a good service</td></tr>
<tr><td colspan="5">have a good image</td></tr>
</table></td><td>3</td><td>Candidates are required compare the Third sector to either the Public or Private sector.

Award 1 mark for each valid comparison.

Accept consequentiality from 2(a)(i).

Accept any other suitable response.</td></tr>
<tr><td></td><td>(b)</td><td>(i)</td><td>Responses could include:

Costs
• Financial cost of training course/expensive to run.
• Loss of production.
o Loss of sales revenue.
• Staff may demand higher wages.
• Staff may leave for better paid jobs.

Benefits
• Increased flexibility.
o Employees could cover for absentees.
• Employees more productive.
• Improved quality of work.
• Less wastage/accidents.
• Increased job satisfaction.
• Improved customer service/satisfaction.</td><td>4</td><td>Candidates are required to outline at least one cost and one benefit to gain full marks.

Award 1 mark for each valid outlined point. Up to 2 marks may be awarded for any one cost or benefit.

Maximum 3 marks may be awarded for either costs or benefits.

Accept any other suitable response.</td></tr>
</table>

Question			Expected answer(s)	Max mark	Additional guidance
		(ii)	Responses could include: • Provide flexible working hours. ○ By allowing employees to choose start and finishing times. • Provide permanent contracts. ○ So the job lasts as long as the business operates. • Pay a bonus. ○ Which is an additional payment on top of normal salary. • Pay a higher rate of pay for working overtime. • Provide payment based on the amount of goods sold.	**4**	Candidates are required to state at least 2 methods of motivation to gain full marks. Award **1 mark** for each valid method. **Up to 3 marks** can be awarded for any one method. Maximum **3** for payment methods eg high rate pay, commission, overtime, bonus etc. Accept any other suitable response.
	(c)		Responses could include: • If location is close to customers - it gives them easy access. • If the location has parking close by – this makes it easier for donations to be dropped off. • If the location does not have a lot of competition nearby - sales are likely to increase. • If location has low rent/purchase price - this will help to minimise costs of the business. ○ Increasing funds available for the cause.	**3**	Candidates are required to explain at least 2 benefits to gain full marks. Award **1 mark** for each explained benefit. **Up to 2 marks** may be awarded for any one benefit. Accept any other suitable response.
	(d)	(i)	Responses could include: • (CHAS) website/online donating facilities/internet. • Social media.	**2**	Candidates are required to identify 2 types of technology to gain full marks. Award **1 mark** for each correctly identified use of technology from the case study.

Question			Expected answer(s)	Max mark	Additional guidance
		(ii)	Responses could include: **CHAS website/donating online facilities** • To make donating easier. o Ease of donating may encourage repeat donations (loyalty). • Will provide information. o Based on this they may volunteer or attend an event. **Social media** • Can increase awareness of the charity. • Specific markets can be targeted. • Can be used for advertising 24/7 **Software/IT Packages** • Word-processing packages can be used to enhance leaflets and brochures • Graphic packages can be used to create company logo • Database can be used to keep previous donor's details to target when trying to raise donations • Spreadsheets can be used to keep sales information o Charts can be produced to analyse trends in sales **Email** • Can be used to contact stakeholders over a wide geographical area <u>Accept also:</u> • Reputation of organisation for being up to date with technology. • Large amounts of finance will need to be invested to purchase technology. • Staff will need to be trained.	**3**	Award **1 mark** for each valid description. **Up to 3 marks** may be awarded for any one use/piece of technology. Technology doesn't need to be identified again. Watch for repetition of uses. Accept any other suitable response.

Section 2

Question			Expected answer(s)	Max mark	Additional guidance
3.	(a)		Responses could include: • Identifies consumer needs/wants. o Ensures the product has a chance of success. o Allows you to set an appropriate selling price. • Identifies the target market. o Can promote products specifically to its target market. • Gains information on consumer trends/behaviour. o Allows the organisation to cope more effectively with changes in trends. • Gains information on rivals/competition. o Allows the organisation to replicate or get ideas from competitors.	**3**	Award **1 mark** for each valid description. **Up to 3 marks** may be awarded for any one description. Accept any other suitable response.
	(b)		Responses could include: • Carry out market research. • Generate the idea. o Brainstorming session or focus group. • Analyse the idea. • Produce a prototype. o Create a model of the product. • Test the product. o Eg safety, durability tests etc. o Receive feedback from test market on how to improve. • Adjust the product based on tests and feedback. o Change the packaging. • Produce the product. • Decide on the advertising and promotions/advertise so consumers know it is available.	**4**	Candidates are required to outline at least 2 stages to gain full marks. Award **1 mark** for each outlined stage. **Up to 3 marks** may be awarded for any one stage. Do not accept launch/release product as this is introduction. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(c)		Responses could include: • Brands are instantly recognisable - saves finance on advertising. ○ Gives a higher market share. • Branding can enable a business to charge high prices for its product - can make larger profits. • Branding can lead to a perception of high quality - can charge high prices. • Branding can lead to brand loyalty - customers are likely to make repeat purchases. • Easier to launch new products – as already gained trust.	**3**	Candidates are required to consider at least 2 benefits to gain full marks. Award **1 mark** for each valid explanation. **Up to 2 marks** may be awarded for any one benefit. Watch for repetition in development. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
4.	(a)		Responses could include: **Quality Control** • Quality is checked at the beginning (inputs)/end (outputs) of the production process. ○ Unacceptable products are either scrapped or put back for reworking. **Quality Assurance** • Quality is checked at every stage of the production process. **Quality Inputs** • Ensuring that raw materials are the best that they can be to ensure a quality output. • Ensuring that machinery/equipment is up-to-date. ○ Fully maintained so that it is working to its best at all times. • Ensuring the recruitment process gets the best staff. • Training staff to ensure they can produce to the best quality.	**4**	Candidates are required to describe at least 2 methods to gain full marks. Award **1 mark** for each valid description. **Up to 3 marks** may be awarded for any one method. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(b)		Responses could include: • The nature of the product. • An individual product made to order/standardised. • The number of customers wanting to buy the product. • The availability and skills of labour. • If there is cheap labour in an area. • The availability of technology/machinery. • The cost of technology/machinery. • The finance available. • The size of the premises.	**3**	Candidates are required to outline at least 2 factors to gain full marks. Award **1 mark** for each outlined factor. **Up to 2 marks** may be awarded for any one factor. Quality of product should be qualified. Accept any other suitable response.
	(c)		Responses could include: • Goods may deteriorate – which could lead to high wastage costs. • Greater chance of theft – as it is more difficult to notice if something is missing. ○ Which would mean loss of profit from stolen goods. • Greater storage/insurance costs – which could mean prices may need to rise. • Goods may become obsolete – which wastes resources as no-one is willing to buy. • Capital is tied up in inventory – which means that resources cannot be used elsewhere. • More storage space is required – which leaves less space available for production. • Organisation is able to immediately respond to surge in demand – which would increase sales.	**3**	Candidates are required to explain at least 2 impacts to gain full marks. Award **1 mark** for each impact of over-stocking. **Up to 2 marks** may be awarded for any one impact. Watch for description of over-stocking as an ID. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
5.	(a)		Responses could include: • Equality Act. • Health & Safety at Work Act. • National Minimum Wage. • National Living Wage.	**2**	Candidates are required to identify 2 pieces of legislation to gain full marks. Award **1 mark** for each identified piece of legislation. Year is not required. Do not accept abbreviations or the Freedom of Information Act. Accept any other suitable response.
	(b)	(i)	Responses could include: • Application form/CV. • Interview. • References. • Testing.	**2**	Candidates are required to identify 2 methods to gain full marks. Award **1 mark** for each identified method. Maximum **1 mark** for any method eg testing/interview. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
		(ii)	Responses could include: **Application form/CV** • To compare against the job description and person specification – in order to narrow down the list of potential candidates/create a short list. • To see if candidate has the necessary qualifications/ experience – so that training costs can be reduced. **Interviews** • Candidates are asked a set of identical questions - which will allow the organisation to compare each candidate. • Candidate can be asked questions relating to their application form – to see if they can back up what they said. **References** • Candidate's past performance in a work situation can be known – which will help back-up their personal statement. **Testing** • Assessing a candidate's performance – to see if they can work under pressure.	**2**	Candidates must explain one benefit of each method identified in 5(b)(i) to gain full marks. Award **1 mark** for each explained benefit. Award consequentiality on selection methods eg 2 testing methods, shortlisting. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(c)		Responses could include: • Production will stop/slow down. • The firm gains a bad image. ○ This may put customers off buying from the company in the future. • Employees' morale falls. ○ Could lead to higher staff turnover. • Expenses may increase if conditions are met. • Employees may lose income whilst taking strike action.	**4**	Award **1 mark** for each valid effect. **Up to 4 marks** may be awarded for any one effect. Effect could be for the organisation or the employee. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
6.	(a)		Responses could include: <u>Advantages</u> • Increased finance through shareholders and lenders. • Shareholders have limited liability. ○ Their personal possessions are not at risk if the organisation goes into debt. • Control of the company is not lost to outsiders. ○ All shareholders have to be agreed upon and invited to invest. • Financial risk is spread between the shareholders. • Directors and shareholders expertise and experience can be called upon. <u>Disadvantages</u> • Decision making more complex as there could be many shareholders. ○ Potential disagreements between shareholders. • Profits will be shared (between shareholders). • Shares cannot be sold to the general public. ○ Reducing the capacity to raise finance. • A legal process must be followed when setting up. ○ Must comply with the Companies Act. • Annual accounts must be produced.	**4**	Candidates are required to consider at least one advantage and one disadvantage to gain full marks. Award **1 mark** for any advantage/disadvantage. **Up to 3 marks** may be awarded for any one advantage or disadvantage. Decision making must be qualified. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(b)		Responses could include: **Managers** • Through the decisions they make. • By motivating staff. ○ Increases productivity. **Employees** • Through the standard of their work. • Through different forms of industrial action (such as a strike). **Shareholders** • Through their voting rights at the AGM. • Through the level of investment made/withdrawn. **Bank/Lenders** • By choosing to approve/not approve loan applications. • Through the setting of interest rates. • Through pay-back conditions.	**4**	Candidates are required to describe the influence of at least 2 stakeholders to gain full marks. Award **1 mark** for each valid description. **Up to 3 marks** may be awarded for describing any one influence. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
			Suppliers • By offering trade credit. • Increasing/decreasing prices. • Level of discounts offered. • Timely delivery. **Customers** • By choosing to buy/not to buy from an organisation. • Through positive/negative word-of-mouth. **Local Community** • By petitioning and making complaints to the local council. **Pressure Groups** • By carrying out negative advertising/demonstrations. **Government** • Could change taxation levels. • Could increase National Minimum Wage/National Living Wage. • Could change/introduce legislation.		

Question			Expected answer(s)	Max mark	Additional guidance
	(c)		Responses could include: • (Availability/skills of) employees. • (Skills of) managers. • (Availability of) finance. • (Availability of) technology.	**2**	Award **1 mark** for each valid identification. Watch for the use of Human Resources. Accept any other suitable response.
7.	(a)		Responses should include: (i) £1,000 (ii) £5,000 (iii) £6,000	**3**	Candidates are required to calculate all 3 missing figures to gain full marks. Award **1 mark** for each correctly calculated figure.

Question			Expected answer(s)	Max mark	Additional guidance
	(b)		Responses could include: **Spreadsheets** • Creation of financial documents (max 1). o Formulae can be used to help do calculations. o This reduces chance of errors. • Could be used to display financial information in graphical/chart form. **Word processing** • Could be used to create invoices to send to customers requesting payment. **Database** • Could be used to record supplier/customer information. • Could be used to create reports on customers with overdue accounts. **Presentation software** • Could be used to deliver a presentation displaying financial information. **Internet** • Could be used to check customer credit ratings. **E-mail** • Could be used to remind customers when their payments are due.	**4**	Candidates are required to describe at least 2 uses of technology to gain full marks. Award **1 mark** for each valid description. **Up to 3 marks** may be awarded for any one use. Watch for repetition in use. Accept any other suitable response.

Question			Expected answer(s)	Max mark	Additional guidance
	(c)		Responses could include: **Expenses** • Costs/overheads incurred by the business. • Money spent by the business eg rent (*needs eg*). **Profit for the Year** • Profit made after expenses have been deducted/gross profit less expenses. **Gross Profit** • Profit made from buying and selling inventory/sales revenue less cost of sales.	**3**	Candidates are required to define all 3 terms to gain full marks. Award **1 mark** for each valid definition. Accept any other suitable response.

[END OF MARKING INSTRUCTIONS]